

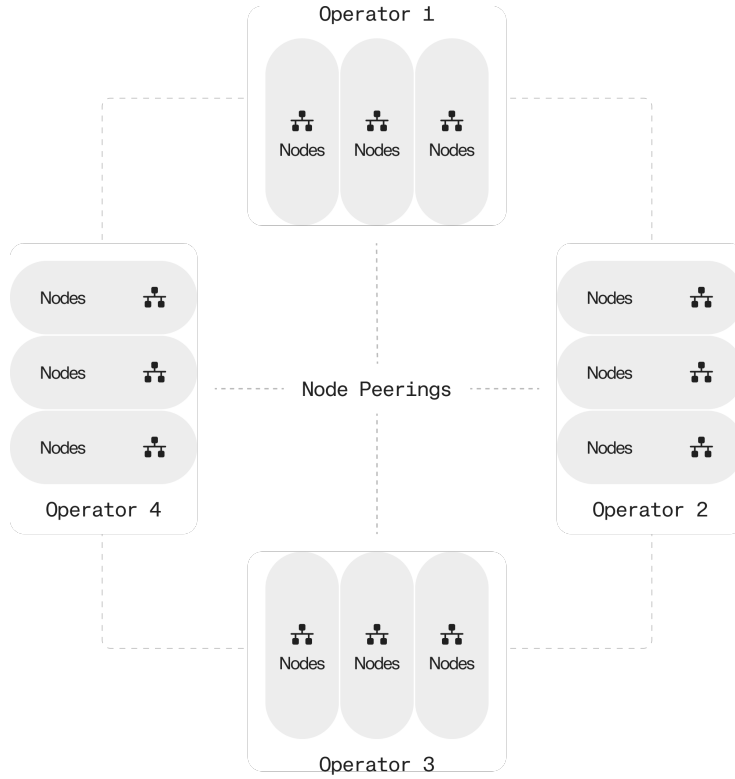


Figure 2: A Rendezvous Hash-ring in a federation of entities running service nodes.

5.1.2 Service Node Statuses

Nodes are categorized into different statuses—Active, Reserve, Standby, Jailed, and Deactivated—based on their performance and compliance with the Network’s requirements.

1. **Active:** These nodes participate in processing user requests and are part of a region. Initially this set entails at least 15, a number set by protocol governance impacting the overall node reward profitability. When a node engages in undesirable behavior (see service node slashing) a slashing event will be triggered against that node and it will be put into jailed status. Jailed status excludes a node from the active set of nodes.
2. **Jailed:** A node that triggers a slashing event will be excluded from the active set for a set time (24 hours) after which they move to the reserve status within which they are ranked based on their stake-weight.³

³This duration is equivalent to the length of a reward epoch. See Annex 10.1.